

CHAPTER 5

Money, Risk & Mindset Basics

Explained so simply a 10-year-old gets it

The most important beginner chapter: how to protect your money and keep a calm head — the two things that actually keep you in the game.

Stock Market Mastery Roadmap • Beginner Level (Final Chapter)

Educational only — not investment, trading, or tax advice.

This is the **most important beginner chapter**. Cool tricks don't keep you in the game — **protecting your money** and **keeping a calm head** do. Master this and everything later gets easier.

Three kinds of money

Not all money is the same. Before trading, sort your money into three jars:

-  **Money you must NEVER trade** — your **emergency fund**, rent, school fees, loan **EMIs**. This jar is off-limits, full stop.
-  **Capital** — the total money you've set aside for investing.
-  **Risk capital** — the slice of capital you can afford to *lose* without your life changing. This is the *only* money that goes into risky trades.

GOLDEN RULE

Never trade with money you'll need soon or can't afford to lose. If losing it would hurt your family or keep you up at night, it does **not** belong in a trade.

The #1 idea: risk only a tiny bit per trade

The single most important habit is **risk per trade** — only risk a **small slice** of your money on any one trade. A common rule is **1%**.

HOW POSITION SIZING WORKS (EASY EXAMPLE)

Say you have ₹1,00,000. Risking **1%** means you're okay losing ₹1,000 on this trade — no more. If your safety-stop is ₹10 **below** your buy price, then $₹1,000 \div ₹10 = 100$ **shares**. That's your size. The **stop distance and your 1% limit decide how many shares** — *not* your excitement!

This way, even **10 losses in a row** only dents your money a little. You stay in the game long enough to get good.

Expectancy: why you can be "wrong" and still win

You don't need to be right most of the time. You need your **wins to be bigger than your losses**. This idea is called **expectancy**:

THE PLAIN-ENGLISH FORMULA

Expectancy = (how often you win × average win) – (how often you lose × average loss). If your wins are *big* and your losses are *small*, you can **lose more than half your trades and still make money**. This is called **asymmetry** — small losses, big wins.

Think of it like fishing: you can miss lots of times, but if the fish you *do* catch are huge, you still go home with a full basket.

The mind traps that catch beginners

Your **feelings** are the biggest danger. Watch out for these four:

Trap	What it feels like	Why it hurts
FOMO	"Everyone's making money — I must jump in NOW!"	you buy late, at the top, with no plan
Revenge trading	"I lost — I'll win it back right now!"	angry trades are reckless trades
Over-trading	"I must trade every single day."	more trades = more fees + more mistakes
Tip-chasing	"My friend said this stock will fly!"	you bet on rumours, not your own homework

Journaling: your trading diary

A **trade journal** is a diary of every trade. It is **non-negotiable from day one** — because you **can't improve what you don't measure**. Write down what you did *and* what you **felt**.

Key ideas to remember

- **Asymmetry** — be right *less* than half the time and still profit, if **winners are bigger than losers**.
- **Ruin risk**  — a few **oversized losses** can end an account **forever**. Blow up once and the game is over — so protect against the big loss above all.
- **Process vs outcome** — a **good trade can still lose**, and a **bad trade can still win**. Judge yourself by whether you **followed your rules**, not by one result.

PRACTICAL EXERCISES

-  **Compute your 1% risk in rupees**. Then, for a stock with a chosen stop distance, work out **how many shares** that lets you buy.
-  **Set up a trade journal** (spreadsheet or Notion) with: date, instrument, **thesis**, entry, stop, target, size, result, and **what you felt**.
-  **Paper-trade 20 trades** using the 1% rule *strictly*. Don't aim to win — aim to **never break the rule**.

REAL-WORLD APPLICATION

-  Every professional risk system is just **this chapter scaled up**. Internalise **1% sizing** and **journaling** now, and the rest of the roadmap **compounds on solid ground**.

THE THREE THAT END BEGINNER ACCOUNTS

1) **No stop-loss** — "it'll come back." Sometimes it doesn't, and the loss becomes un-recoverable. 2) **Position too large** — one bad trade wipes weeks of gains because size was set by **greed, not risk**. 3) **No journal** — you can't improve what you don't measure, so you just repeat the same mistake with confidence.

ONE-LINE SUMMARY

Only trade **risk capital**, risk a **tiny slice** ($\approx 1\%$) per trade so no single loss can hurt you, aim for **wins bigger than losses** (asymmetry), dodge the **mind traps** (FOMO, revenge, over-trading, tips), and **journal everything**. Survival first — skill grows on top of it.

YOU'VE FINISHED THE BEGINNER LEVEL! WHAT'S NEXT?

Next comes the **Intermediate Level** (about 2.5–4 months, ~ 1.5 –2 hrs/day). You'll build the **two analytical engines** — fundamental and technical — and pick a **trading style** that fits your time, temperament, and money. It ends with the two skills that separate survivors from casualties: **risk management** and **trading psychology**.